In return for all these privileges, the bank, as noted above, undertook to open 100 new branches within five years, of which the government was to determine the location of one in four. S.K. Muranjan observes, ‘To no part of the Imperial Bank Act of 1921 did public opinion attach greater importance than this undertaking to extend banking facilities. The presence of a bank whose position and stability were beyond all doubt and which could keep their cash balances was expected to have a very uplifting effect on local banks.’[23]

In 1926, the Hilton Young Commission raised the question of a central bank for India as the next logical step in the organization of currency and credit. Muranjan observes, ‘It was inevitable that all eyes should turn, in the first instance at least, to the Imperial Bank as the instrument most easily available at hand. But the Hilton Young Commission was opposed to the combining of central banking functions and commercial banking activities in the same institution. To deprive the bank of its commercial function was to arrest the progress of the country in the one sphere in which progress was most urgent and vital.’[24] The creation of the RBI in 1935 gave effect to this conclusion and put an end to the debate of the Imperial Bank also performing the functions of a central bank.

A Natural Leader

Through sheer size alone the Imperial Bank exercised great power. Its private deposits amounted generally to one-third of the aggregate deposits of the banks in India. By 1926, it had more than twice as many branches as all exchange banks put together, and more than one-third of the branches of all Indian joint-stock banks. As Muranjan observes, ‘It is hardly surprising that a bank with such enormous resources, expanse, and clientele could always be sure of forcing others to follow its lead. There is little doubt that the bank owed much of its commanding position to its special connection with the government. This connection gave it command over a large and dependable volume of public funds which were of especial use in the early stages of its career. But more decisive than the funds themselves was the general confidence arising out of the belief that the government was deeply concerned in and could be trusted to take measures to ensure its stability and solvency’.[25]